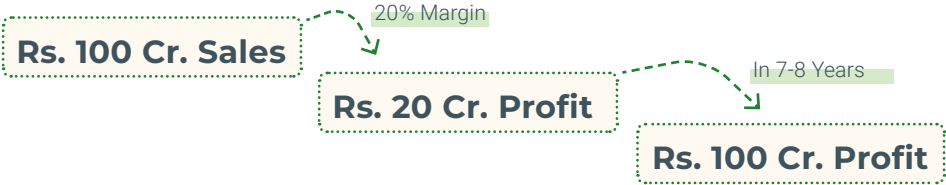




Ideal timeframe 7-8 years

The ideal frame for a 10X investment is 7 to 8 years, as we are looking for businesses that can increase their profits by at least 5X in that particular time.

We should assume enough time for the company's real value to increase. 10x cannot happen purely due to market fluctuations.



Can grow profit by 4-5x in next 7-8 years

The above time allows the company to grow its sales and also expand the margin. We do not need sales to double each year. Consistent growth is more than enough.

	Sales	x	Margin	=	Profit
Existing	(Rs. 100 Cr.)		(20%)		(Rs. 20 Cr.)
Case 1 (Sales go up)	Rs. 500 Cr.		20%		Rs. 100 Cr. Sales increases by 5X.
Case 2 (Margin go up)	Rs. 100 Cr.		25%		Rs. 25 Cr. Margin increases by 5%.
Case 3 (Sales & Margin go up)	Rs. 500 Cr.		25%		Rs. 125 Cr. Margin increases by 5%. Sales increases by 4X.